29. Contract balances continued

Expected realisation of remaining performance obligations at year end continued

Revenue from the sale of hardware and software generally arises from contracts less than one year in length. Consequently, the above amounts predominantly relate to the sale of maintenance and support services.

Virtually all of the revenue will be recognised within three years.

The Group provides standard warranties on its products and services. The nature of these warranties is considered to provide customers with assurance that the related product or service will function as intended in accordance with the agreed specification, and does not contain or imply any additional service obligation to the customer. Warranty obligations are estimated and recognised as liabilities based on the probable outflow of resources.

30. Financial instruments and financial risk management

The main purpose of the Group's financial instruments, other than trade and other receivables, trade and other payables, contractual provisions and lease liabilities, is to fund the Group's liquidity requirements.

All of the Group's financial assets and liabilities are categorised as financial assets/liabilities stated at amortised cost, except for forward foreign currency exchange contracts, included within current other financial assets, that are designated as financial assets at fair value through profit or loss and corporate owned life insurance, amounting to $3.0 million (2018 $2.4 million), included within non-current trade and other receivables, that is designated as financial assets at fair value through profit or loss. These are shown in the below table:

	Notes	**2019 $ million**	2018 $ million
Non-current trade and other receivables	20	**5.7**	3.5
Cash and cash equivalents	22	**183.2**	121.6
Current trade and other receivables	20	**133.2**	126.9
Current other financial assets	20	**0.1**	–
Financial assets		**322.2**	252.0
Non-current other payables, excluding government grants	23	**0.8**	4.4
Current trade payables, other payables and accruals	23	**75.4**	57.1
Lease liabilities, current and non-current	26	**33.0**	–
Contractual provisions	28	**3.6**	3.6
Financial liabilities		**112.8**	65.1

The Group enters into derivative transactions, forward foreign currency exchange contracts, for the management of the Group's foreign currency exposures when deemed appropriate.

The key objective of the Group's treasury department is to manage the financial risks of the business and to ensure that sufficient liquidity is available to the Group. All treasury activity operates within a formal control framework. The Board has approved treasury policies and guidelines and periodically reviews treasury activities. Additionally, it is the Group's policy that speculative treasury transactions are expressly forbidden.

a) Market risk

The main types of market risk that affect the Group are interest rate risk and exchange rate risk.

Interest rate risk

The Group has external debt in relation to its lease liabilities (note 26) but has limited exposure to interest rate risk as the incremental borrowing rate used to discount these lease liabilities is fixed at the lease commencement date. The Group's excess funds are principally held in the United Kingdom and the United States and invested in on-demand or short-term bank deposits. It therefore has some exposure to interest rate risk arising on changes in Sterling and US Dollar interest rates.

Cash and cash equivalents and forward foreign currency exchange contracts are the Group's financial instruments which are exposed to interest rate risk.